Executives

Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board
Luis Sampson -
Roberto Servitje -

Analysts

Alexander Reid Robarts - Managing Director and Head of Latin American Consumer Staples Equity Research Team
Diego T. Maia - Analyst
Dong Uk Shin - Research Analyst
Eduardo Estrada -
José Juan Yordán - Research Analyst
Miguel Mayorga -
Sachin Shah -

Presentation

Operator

Good morning, everyone, and welcome to the Grupo Bimbo conference call to discuss the acquisition of Canada Bread. The slide presentation that accompanies this call can be accessed at www.grupobimbo.com/ir.

Before we begin, I would like to remind you that today's call is being recorded and that information discussed may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the conference call over to Mr. Daniel Servitje, Chairman and Board -- and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull

Thank you very much, and good day, everyone. Thank you for joining us on such a short notice. I will begin with an overview of the transaction announced today and then Guillermo Quiroz, our CFO, will provide more detail on the impact of the acquisition in our financials. After that, we will be glad to take any questions that you may have.

First, Canada Bread represents a very unique opportunity to enter the healthy and stable Canadian baking market and strengthens our long-term goal of building global leadership in the bakery industry. The company itself is remarkable for its long history in the Canadian market, a national footprint, robust product portfolio and deep consumer loyalty to its brands such as Dempsters, POM and Ben's.

The company is financially sound and is expected to be accretive to our EPS from year 1. The business

should generate over CAD 185 million in EBITDA and sales of over CAD 1.4 billion, implying a healthy margin of 12.9%.The purchase price of CAD 1.83 billion and an enterprise value of CAD 1.73 billion that implies a multiple of 1.2x annual revenues and 9.3x EBITDA.

We have already identified between CAD 40 million and CAD 65 million of potential annual efficiencies by 2018. These opportunities include cost savings through plant improvements to increase productivity, easy route restructuring, back-office savings on the IT integration into Grupo Bimbo systems and procurement efficiencies in line with our global purchasing initiative.

The acquisition will be funded by a 5-year committed credit facility, and we expect to close the transaction next quarter, following the necessary approvals.

If we move to Slide 3, please, let me share you -- with you the transaction rationale and why we see Canada Bread as such an attractive opportunity. To start, the company fits exactly within our strategic soft spot as a leader in its domestic market, a new market for Grupo Bimbo, which helps strengthen our presence in the Americas and one that has grown steadily and with little volatility in terms of pricing. The company produces a wide range of products that is well aligned with our portfolio. With its branded package bread business, the company holds nearly 1/3 of the market nationwide and enjoys the #1 or 2 positions in most provinces, which comes in part from their strong relationship with large national retailers and key food service accounts.

Canada Bread also brings experience in the Frozen Bakery business that will enable us to expand our North American offering with the same commitment of quality and value to the consumer.

From a financial perspective, Canada Bread's strong and diversified cash flows are a clear upside. We will need their opportunities to further strengthen margins by leveraging the efficiencies opportunities I mentioned in terms of plants, distribution and IT. And while we will fund this transaction with debt, our balance sheet will remain strong and flexible. We have a proven track record of deleveraging through disciplined cash management.

Slide 4, please. We see the Canadian bread market as a very compelling opportunity. Annual sales to date are around CAD 3.7 billion in total, of which packaged bread comprises around 65%. What's notable here is a steady pace of growth of packaged bread, almost 5% on a compounded basis in the past 5 years. Now if you look at the market share, there are essentially 2 players, Weston Bakery and Canada Bread, each with about 1/3 of the market; while private label and other regional bakeries make another 1/3 of the market.

Slide 5, Business Overview. The company generates revenue from 3 main businesses, the largest being the Fresh Bakery category in Canada at about CAD 970 million, and Frozen Bakery, with the sales in both Canada and the U.S., the total approximately CAD 400 million. The Fresh Bakery business in the U.S. account for about $130 million in annual sales.

The company operates 25 bakeries and employs more than 5,000 associates. Again, I want to point out the strength of the company's EBITDA performance and the significant opportunity to further improve profitability by 2018.

Slide 5 -- 6, sorry. The company's brands are well established among customers and consumers, holding

the #1 or 2 positions across a number of categories, including bread, buns and rolls, breakfast items, tortillas. As you can see, there is a strong alignment with Grupo Bimbo's portfolio, and I think there are interesting cross-market opportunities for us, particularly on the research and development and innovation front. Canada Bread is very active in that regard with a track record of successful product launches that would certainly strengthen our potential product pipeline in other markets and vice versa as well.

When you look at a map of the company's manufacturing footprint, it's clear that production and market share are weighted towards the eastern provinces of the Maritimes, Québec and Ontario, leaving a fair amount of opportunity in the central and western regions of the country.

In the interstate where our subsidiary BBU Bimbo bakeries already have a leadership position in the packaged bread, we have an opportunity now to participate in the frozen business.

As you can see, this is an exciting opportunity to expand our footprint, broaden our product offering, enhance our global profile and strengthen our financial position.

In that regard, I will now turn the call over to Guillermo Quiroz to walk you through the financial implications of the acquisition.

Guillermo Jorge Quiroz Abed
Thank you, Daniel, and as a reminder, we are now on Slide 8. As what's already stated, this transaction will be immediately accretive to our earnings. But I also want to underline how Canada Bread will contribute to our overall financial performance.

On a pro forma basis, this operation would increase our top line by 10.5%, comprising about 9% of Grupo Bimbo's net revenues that will further diversify our sales and reduce reliance on any of our present markets we have today. This is even more notable on the EBITDA level, given Canada Bread's solid and stable cash flow generation.

On a pro forma basis, the group's EBITDA would increase by almost 15% and is strengthen our consolidated EBITDA margin by about 30 basis points to 9.7%.

Slide 9, please. The strategic benefits and P&L contributions of Canada Bread are extremely compelling to us, as we have laid out today. But we obviously must consider the balance sheet implications of any transaction of this scale. Our priority is to maintain a healthy and flexible financial structure for Grupo Bimbo, with a favorable credit profile. To fund this acquisition, we will draw down a portion of our $2 billion revolving credit facility. This is highly advantageous from a number of perspectives, as you can see. First, it allows to retain a very healthy pro forma amortization profile, based on the fact that the maturity of this facility has been extended to March 2019. Second, the cost of debt is low at 3.7%. And third, it provides us with the flexibility we need to delever our balance sheet through our strong cash flow generation in a timely and orderly fashion.

10 and last Slide. For those of you who have followed Grupo Bimbo for some time, you have already seen us successfully delever our balance sheet before. In fact, twice in the past 5 years, after having made the largest acquisitions in our history, we believe this will be no different, and we remain strongly committed to disciplined cash management and effective execution in order to return to more

comfortable ratio level within the next 1.5 years to 2 years.

With this, I conclude our formal presentation, so I will hand over the call to Jamie for any questions any of you may have.

Question and Answer

Operator
[Operator Instructions] Our first question comes from Sachin Shah from Albert Fried.

Sachin Shah
Just wanted to clarify on the regulatory side, the release mentioned Investment Canada requirements. So just want to see if you had a chance to talk to the regulators or if you've done enough work to just confirm that this deal is going to get over the finish line?

Luis Sampson
This is Luis Sampson. Yes, we've been working on the regulatory side. We have to go through Investment Canada Act, and we have to go through the different regions to get approval for antitrust. We don't expect any problems there. We've been doing a review and we expect that this is going to go through in a timely fashion. So both of these transactions should happen in the second quarter.

Sachin Shah
Okay. So you're expecting that the approval sometime in the second quarter?

Luis Sampson
Yes.

Sachin Shah
All the approvals?

Luis Sampson
Yes.

Operator
Our next question comes from Rafael Shin from BTG.

Dong Uk Shin
I wanted to get some color on how much you're planning to invest in order to get the efficiencies you're talking about. And also, can you give us some color on the restructuring costs you're expecting, is there any?

Roberto Servitje
This is Roberto Servitje. If an event -- we expect that we will just make the transaction and there's a lot of things that we will find out and figure out in the following weeks or months. But I would say that we are expecting somewhere in the neighborhood of $200 million for the following 4 to 5 years, and that would be maintained as CapEx as well as some expenditures that we might use to achieve some synergies, but that's very much it at this point. That's what we have foreseen at this point.

Dong Uk Shin
Okay. And that includes, I guess, the CAD 40 million to CAD 65 million, includes the synergies you expect as well with the U.S. operations, right?

Roberto Servitje
That's correct.

Operator
Our next question comes from Miguel Mayorga from GBM.

Miguel Mayorga
My question is regarding the management. What can you tell us about the management team that will deal with the business?

Daniel Javier Servitje Montull
Yes, well, we have found a very good group of leaders in all the businesses in the company regionally, as well as in these different categories. So our intent is to work with them to really help them synergize with the rest of the company.

Operator
Our next question comes from José Yordán from Deutsche Bank.

José Juan Yordán
My question was, I mean, going back 5, 6 years to when you bought the U.S. business of Weston. At that time, you specifically did not buy the frozen business, or correct me if I'm wrong, but because you just said you were not interested in that business at that time and it was not really something that was, not your core competency. And so now you're getting into it and I was just wondering why the change of heart. Or is it something that just comes with the package, and that you're going to give it a try or maybe divest it at some point in the future? And I guess, a corollary to that, is the U.K. business, right? Was that something that was a positive, a key reason for acquiring this company? Or is this something that came with it and you approach it just like you would, like I'm thinking you might the frozen business?

Daniel Javier Servitje Montull
Thank you very much, José. Let me tell you a little bit about the past transaction that you're referring to. That was basically a transaction done in 2009. And as you could imagine, the environment then was a very different environment from the one that we have right now. We already are in the business of Frozen Bakery. We have a few plants in Mexico and Argentina. So this is a business that fits into our strategy. We want to obviously understand the differences among these businesses, and we want to see where it makes sense for us, as we do with all our product portfolio and businesses that we have in the rest of the world. But we see ourselves as a full-line baker, not only as a fresh bakery player. And certainly, Canada Bread has a sizable business in this regard, and we plan to understand and to participate in this category. Regarding the U.K. business, as you know also, we are already in Europe, in Spain and Portugal, and we like the specific business that Canada Bread has in the U.K., as it has a leading position in a segment, in a niche, that it's profitable and that it's growing as well. And we liked it and we plan to work with the team in the U.K. to synergize with the rest of our businesses in Europe. You had another question, were there 3 or 2, José?

José Juan Yordán
No, no, that was it. I think you've answered it. But I guess the reason for not buying the Weston frozen assets in 2009 was more macro related than just an aversion to it. I think you've answered it.

Daniel Javier Servitje Montull
Okay.

Operator
Our next question comes from Diego Maia from HSBC.

Diego T. Maia
Can you please comment a little bit on the timing of the transaction? I mean, with the U.S. industry getting more competitive now and come back off [indiscernible] brands in the market, we are yet to see the impact from the fiscal reform in Mexico. So if you can run this, why do you think that you will see the profit now and beating the outlook?

Daniel Javier Servitje Montull
Well, we have a long-term strategy in this market, and this is -- or this was a very unique opportunity for us to participate in the opportunity to acquire probably one of the single largest inorganic opportunities in this region. We will now have a leading presence in the 3 countries of the North American region, and we believe that this makes a lot of sense. And while it's mostly complementary to our businesses, it does bring some synergies alongside with our presence here in North America. And the results of our different businesses during the year and our outlook for the year, we'll talk about that in our press -- in our analyst conference next week. But we're very happy where we stand, and we think that the opportunity presented to ourselves and we took advantage of it. And as Guillermo already mentioned, we also, and our board, is quite pleased with this opportunity and with its financial outlook for the next year. As we all mentioned, this is a very stable and profitable business, and it will be a credit for GB as well.

Diego T. Maia
Okay, understood. And have you already discussed the transaction with the rating agencies? Do you guys have any color on that, their view upon the transaction?

Roberto Servitje
Related to -- this is Roberto. Related to the rating agencies, well, as you know, that's a question that must be made to them directly. But what I can -- do can tell you is that naturally, we have a permanent conversation and dialogue with them. They are aware of this. And I'm sure they will be disclosing some of their opinions in the following days. And -- but from our standpoint, from our view, I would reinforce what Guillermo stated in his remarks, which is that after this transaction is materialized on our balance sheet, we remain very strong, and we are even further strengthening our capacity of delevering by this company's stable cash flows.

Operator
Our next question comes from Alex Robarts from Citigroup.

Alexander Reid Robarts

I was hoping to get into a couple of things, and first of all, just to start out with the investment amount that you've just outlined for us, this $200 million over the next 4 to 5 years. It'd be helpful if we could kind of get a feeling how much of this is CapEx versus working capital and versus restructuring costs, if we could kind of think about those 3 buckets, that would be helpful, if you could give a sense of the dimensions of those. And I understand from the earlier Canada Bread call that it seems that you will have to be responsible for a fee to keep on to their information systems for at least 1 year and just getting a sense of the size of that fee, that would also be helpful. I guess the second thing relates to this idea of your margin pickup. I understand Guillermo's mentioned 30 basis points of pickup. Is that something that you think happens in the shorter term? Or is that kind of where you'd like to be with the 30 basis point pickup kind of after some of this front-ended restructuring is done? And the third and final question just relates to the market. I mean, it's an impressive growth rate, this 4.8%, right, in the package bread when we think about other markets where you're operating. Is 4.8%, which has been the 5-year CAGR in the last 4 years with the packaged bread growth in Canada, is that something that we can think about for the next 3 years? Might it decelerate? And then finally, kind of the tag on to this is that is private label at a similar type of discounts in Canada in the bread industry, as we kind of see them in the United States? That would be great.

Guillermo Jorge Quiroz Abed
Alex, let me see if I got it all. When Roberto was mentioning the $200 million for the following 4 years, he was referring just to CapEx. The rest will have a different performance, but that's the amount. We, at this stage of analysis, we are foreseeing $200 million only in CapEx. I think the next one was related to something we call the transition agreement, which means that when you acquire -- this is a normal procedure. When you acquire a company, it is virtually impossible to put in place your own systems to operate the company, so this was done many times before a transition service. It means that they will continue giving us the necessary services, obviously, in exchange of a fee until we are ready to integrate those administrative and selling systems in ours. That was the second part. Now the expansion in margin...

Alexander Reid Robarts
Sorry. So I guess before that, but in terms of restructuring costs then and working capital, could you give us a sense of what you might be looking at? Or is that kind of you're still working on them?

Guillermo Jorge Quiroz Abed
I would say that -- let me tell you 2 different things. Now specifically, when you talk about working capital, according to the agreement, we are going to receive a company with the necessary working capital to continue operate on a normal basis and the part related of the necessary investments to be able to generate efficiencies, our assumption, which was included in our evaluating model is $80 million during the following 5 -- 4 to 5 years. And going back to the margin question, yes, the answer is it's going to be immediate, as soon as we get this transaction done. This increasing in margin is not related to any of the future efficiencies. It's just an arithmetic combination between our consolidated margin we have today and the consolidating -- I'm sorry, and the margin they're bringing in.

Daniel Javier Servitje Montull
Okay. And the last question, Alex, this is Daniel, let me tell you that our forecast for growth in terms of the next years is more conservative, although we'll obviously try to have new initiatives and to feed them also with the ones that the team in Canada Bread has. So we will see also opportunities for mix changes for new introductions, but we're forecasting internally a lower number than the one that we had seen in the

recent years.

Alexander Reid Robarts
Okay, very helpful. And just the $200 million, is that in U.S. or is that in Canadian dollars, sorry?

Guillermo Jorge Quiroz Abed
Everything is Canadian. Everything we just said is Canadian dollars.

Operator
And our final question for today comes from Eduardo Estrada from Accival.

Eduardo Estrada
I have 2 questions. The first one, can you explain to us a little bit, talk about the distribution of Canada Bread? Is it independent or is it owned by the company and if you are planning some changes on that? And my second question is related to the improvement of margins the company has had in the past. It was very healthy improvement in 2013. Is it linked to softening pressure in light of lower prices of wheat? Or are they working on some restructuring on their own in order to improve those margins?

Daniel Javier Servitje Montull
On the second question, I mean, if you can -- okay, yes, the distribution. All the fresh distribution is through independent distributors and franchisees. It's a model used in Canada, but all of them are independent. And as always, there are changes and opportunities for improving the efficiency, but all in all, I would say it's a very well-run system and that -- one that works well for that market. Yes, and the reason for their performance, it's attributable to their own initiatives for cost reduction and innovation as well. There were quite interesting launching of products in the different categories and also improvements in some of their different businesses besides the fresh part of Canada Bread. So all in all, a good year. We hope that they continue to perform as well. There was a large effort in -- a large piece of change in their manufacturing assets. It's called the $1 trillion project, one in which they consolidated some bakeries in the Toronto market. And this is a project that has bear fruit, and it will continue to improve over time.

Eduardo Estrada
Okay. And a follow-up, if I can. Basically, I see that you are acquiring 2 bakeries although they have frozen in California. Do you think that could make some noise for them towards there or basically, it's a completely different business of fresh baking and [indiscernible]

Daniel Javier Servitje Montull
As we know it, it's a different category, it's a different business. You go through another means and you compete with the different players in that segment. So this will be obviously reviewed by the authorities in the U.S., as it always does.

Operator
And ladies and gentlemen, that does conclude our question-and-answer session. I would like to turn the conference call back over to management for any closing remarks.

Guillermo Jorge Quiroz Abed

Well, thank you very much for all your interest. This obviously is a very important transaction for us, and we are pleased to being able to announce it. And we will be coming back to you next week for our fourth quarter earnings call. Thanks a lot, and have a nice day.

Operator
Ladies and gentlemen, that concludes today's conference call. We do thank you for attending. You may now disconnect your telephone lines.

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